

Corruption 101: A beginners guide to going corrupt

Corruption is one of those things everyone agrees is bad, and yet it keeps happening everywhere — in democracies, autocracies, rich countries and poor ones. Governments launch anti-corruption campaigns. International bodies publish rankings. Economists build models. And still, the police officer takes the bribe, the minister awards the contract to his cousin, and the junior civil servant learns, fairly quickly, that honesty is a personal choice that the system around him has stopped making.

This essay does not offer another dry definition of corruption, nor another list of policy recommendations that sound sensible in a conference room and disappear on contact with reality. Instead, it offers four frameworks for understanding how corruption actually works — how it starts, how it spreads, how it sustains itself, and why it is so hard to stop. These are not borrowed from existing literature, though they connect to it. They are an attempt to think clearly about a problem that is usually discussed in ways that make it seem more complicated, or more mysterious, than it really is.

What Corruption Actually Is

Before the frameworks, it is important to define corruption. Corruption, in the most useful sense, is the use of public power for private gain in a way that violates the rules of the system — and, more importantly, in a way that redirects public resources away from those they were meant to serve.

Economists Gordon Tullock and Anne Krueger developed the concept of rent-seeking in the 1960s and 1970s to describe a related phenomenon: the use of political influence to extract economic benefits without creating anything of value. A firm that lobbies for a regulation that blocks competitors, or an official who demands payment to process a permit that should be free, is not producing anything. They are redistributing resources toward themselves at someone else's expense. Corruption is, in this sense, a form of rent-seeking with a badge.

What makes it particularly damaging is that it does not just cost money. It costs trust. Research published in *Frontiers in Political Science* (2026) found that corruption erodes social trust more severely in democracies than in autocracies, precisely because democratic systems are built on a promise of fairness. When that promise is broken by the people entrusted to keep it, citizens do not just lose faith in the individual official — they lose faith in the system itself. With that in mind, here are four ways corruption works.

Framework 1: The River Theory

Imagine a river. Water does not flow uphill. It flows down, from the source to wherever the land takes it. Now imagine that the person at the top of an organisation — a police commissioner, a government minister, a department head — is corrupt. They take bribes. They direct contracts to allies. They make clear, through their behaviour, that the rules are negotiable if the price is right. What happens to the officers below them? They have two choices. They can refuse to participate, maintain their integrity, and face the consequences — passed over for promotion, quietly marginalised, perhaps forced out. Or they can go along with it, take their share, and survive.

This is not a hypothetical. It is the ordinary reality of institutional corruption in many countries. The individual junior officer does not wake up one morning and decide to become corrupt. Corruption is made available to them, and then made necessary, by the behaviour of those above them. The River

Theory describes how corruption flows downward through a hierarchy when power is concentrated at the top. One corrupt source contaminates the entire system below it.

This is what makes top-level corruption so catastrophic. It is not just about the money stolen at the top. It is about the norm that gets established. When citizens see that corruption is practised openly by those in power without consequence, they infer — correctly — that the system is not designed to protect them. As institutional economists have argued using the concept of path dependency, once a system locks into a corrupt equilibrium, changing course becomes very costly because every actor in the system has adapted their behaviour to the corrupt norm (Groenewegen et al., 2010). Reformers face not just corrupt officials but an entire institutional culture that has organised itself around corruption as a way of doing business.

Framework 2: The Empty Chair Theory

Here is a thought experiment. You are a low-level government official. Someone offers you a bribe to process their application faster. You refuse. They walk out. Do you feel good about yourself? Maybe. But here is the uncomfortable follow-up: did your refusal change anything? The applicant will try again tomorrow, with someone else. Or they will try the official in the next window. The bribe will be paid. The favour will be granted. The only thing your refusal changed is that you did not get the money. This is the logic of what I call the Empty Chair Theory. The corrupt opportunity does not disappear because one person refuses it. It simply waits for someone else to sit in the chair.

This relates to what economists call the problem of contestable rents. Tullock's insight was that when a rent — a financial benefit obtained through position rather than effort — exists and is available to whoever holds a particular office, people will compete to hold that office, and once in it, they will take the rent. The rent does not belong to the person; it belongs to the chair. Someone will always sit in it. This is why anti-corruption campaigns that focus on individual actors — naming corrupt officials, removing bad apples — often fail to change the underlying pattern. If the structural opportunity remains, the next person in the role faces the same incentives. The chair is still there. Someone will sit in it.

The policy implication is significant: fighting corruption requires removing the opportunity, not just the individual. This means reducing discretion, increasing transparency, and restructuring the systems that create rents in the first place.

Framework 3: The Rotten Potato Theory

Take a bag of potatoes. One of them is rotten. If you leave it there, it does not just sit quietly in its corner being bad on its own. It spreads. The rot contaminates the potatoes around it. Left long enough, the whole bag goes. Corruption works the same way in an organisation or a community. One person's corrupt behaviour changes the environment for everyone around them. It does this in two ways.

First, it changes what people believe is normal. Research shows that the perception of corruption directly shapes the willingness to engage in it (Incio, 2024). When people believe everyone around them is corrupt, the moral barrier to corruption falls. It no longer feels like a violation — it feels like participation in the prevailing norm. This is what researchers call a contagion effect: a 10% increase in corruption in one context has been shown to produce a 4–11% increase in neighbouring contexts (Goel and Nelson, 2007).

Second, it changes the calculations of honest people. If you believe that your colleagues are taking bribes and you are not, you are doing the same work for less reward. You are, in effect, being

penalised for your honesty. Over time, this becomes unsustainable — not because people are naturally dishonest, but because the incentive structure has been quietly inverted.

The Rotten Potato Theory explains why corruption, once established in an organisation, tends to spread until it becomes systemic. It is not that people are bad. It is that the environment makes corruption rational and honesty costly.

Framework 4: The Debt Spiral Theory

The final framework is perhaps the most underappreciated. It explains not just why corruption starts, but why it is so hard to stop once it has started.

Consider someone who takes a bribe for the first time. They now have a problem they did not have before: the knowledge that they are corrupt, and the fear of being found out. To manage that risk, they need allies — people who also have something to hide, and who therefore have an interest in keeping quiet. So they bring others into the arrangement. They take another bribe. They make another deal. Each corrupt act produces a new vulnerability, and that vulnerability requires another corrupt act to cover it. This is the Debt Spiral. Corruption, once started, creates its own momentum. The first act of corruption is a choice. Every subsequent act is closer to a necessity.

In institutional economics, this connects to the concept of path dependency — the idea that once a system moves down a particular path, the costs of reversing course increase over time because so many other decisions have been built around the original choice (North, 1990). In the context of corruption, the original choice to take a bribe locks the individual into a structure of dependence and mutual vulnerability that becomes increasingly hard to exit. This is also why whistleblowers are so rare and so consequential. Breaking the Debt Spiral requires someone to absorb the full cost of exposure — to accept their own vulnerability in order to expose everyone else's. The individual cost is enormous. The social benefit is large but diffuse. This is a classic collective action problem, and it is why corruption, once systemic, tends to be self-sustaining.

Why These Four Theories Together Matter

Each of these frameworks explains something different. The River Theory explains how corruption spreads through hierarchy. The Empty Chair Theory explains why structural opportunity makes corruption persistent regardless of individual actors. The Rotten Potato Theory explains how corruption spreads sideways through social norms and contagion. The Debt Spiral Theory explains why individual actors find it so hard to exit once they have entered.

Together, they suggest that corruption is not primarily a problem of bad individuals. It is a problem of systems that make corruption rational, normal, and self-sustaining. This matters for how we think about solutions. Punishing individuals without changing structures leaves the chair empty but does not remove it. Changing the rules without changing the culture leaves the norms intact. Addressing the culture without breaking the spiral of mutual complicity means that even willing reformers find themselves trapped.

There is no clean answer here. But understanding why corruption works the way it does is the first step toward designing systems that make it harder — one that begins not with the assumption that people are corrupt, but with the recognition that systems can make corruption the path of least resistance for people who might otherwise choose differently.

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